# 3.5 FMCG

The Fast-Moving Consumer Goods (FMCG) sector in India is a cornerstone of the economy, playing a pivotal role in driving growth and embracing emerging technologies. As one of the largest sectors in the country, it is characterized by a diverse range of products including food and beverages, personal care, health care, household care and other consumables.

The sector is renowned for its resilience, often remaining buoyant even during economic downturns. The FMCG sector is witnessing a significant shift towards automation, data analytics, artificial intelligence, digital marketing and sustainable practices, adapting to the evolving consumer preferences and technological advancements. The adoption of these technologies is fostering a demand for skilled professionals adept in digital tools and data science. The convergence of technology and consumer goods is thus not only transforming the FMCG landscape in India but also acting as a catalyst for job creation across various skill levels and functions.

## 3.5.1 Macroeconomic trends

### A Key statistics

The FMCG (INFOGRAPHICS)

Market is expected to increase at a CAGR of 14.9% to reach US$220 billion by 2025, from US$110 billion in 2020[66]. As a cornerstone of India's economy, this sector significantly contributes 10% to the Gross Domestic Product (GDP).

Industry is expected to maintain a solid growth rate of 7-9% in 2024, driven by strong consumer demand[67].

Market, valued at $164 billion in 2023, is set to grow to US$1.09 trillion by 2032, reflecting a robust CAGR of 21.6%[1]. This positions India as the fourth largest FMCG market globally. India also ranks fifth in global manufacturing output, contributing 2.78% of the total.

Sector's diverse range includes a notable growth in the household and personal care segment, which increased from 32% in 2019 to 40% in 2020

Foreign investors are demonstrating substantial interest in the FMCG sector, with India attracting nearly US$991 billion in Foreign Direct Investment (FDI) from April 2000 to March 2024. In the most recent year, FDI inflows amounted to US$70.95 billion, including US$44.42 billion in equity investments. This influx of foreign capital plays a pivotal role in driving innovation and expanding growth within the sector. As per data released by Department for Promotion of Industry and Internal Trade (DPIIT), Maharashtra has emerged as the leading state for FDI during 2023-24, reflecting its favorable investment climate. The FMCG industry continues to be a vital component of India's economic development, drawing sustained investment and contributing significantly to national prosperity.

### B Employment scenario

The FMCG sector currently employs approximately 3 million individuals, representing about 5% of the nation's total factory employment[68]. The Consumer Goods and Services vertical alone represented approximately 0.65 lakh tech jobs in FY 2022, with projections indicating a 1.7-fold increase in the next five years. The market size for this vertical was INR12.30 lakh crores in FY 22 and is expected to reach INR23.70 lakh crores by FY 27[69]. This substantial employment contribution underscores the sector's critical role in providing livelihoods and supporting the broader economy.

> Looking forward, the total revenue of FMCG market is expected to grow at a CAGR of 27.9% through 2021-27, reaching nearly US$615.87 billion[70].

This projected growth not only reflects the sector's potential for expansion but also its ability to generate significant employment opportunities. The creation of these new jobs will be instrumental in accommodating the increasing workforce, enhancing economic stability, and fostering inclusive growth. The sector's expanding employment base is a testament to its dynamic nature and its crucial role in driving economic development in India. As the industry evolves, its impact on employment and economic growth is expected to strengthen, further establishing it as a cornerstone of the Indian economy.

## Key drivers of growth and government schemes

In the 2023-24 budget, the government demonstrated significant support for the food processing industry by allocating INR3,287.65 crores. This investment reflects the government's commitment to enhancing the sector's growth and development.

The Indian government has introduced several programs and policies to support the FMCG sector's growth. Key initiatives include:

- **Foreign Direct Investment (FDI):** The Indian government permits 100% FDI in food processing and single-brand retail, and 51% in multi-brand retail. These policies are designed to enhance employment, improve supply chains, and increase the visibility of FMCG brands in organized retail markets, thereby stimulating consumer spending and supporting new product launches.
- **Goods and Services Tax (GST):** The introduction of GST has streamlined tax rates for many FMCG products, reducing the overall tax burden. This reform modernizes logistics and pricing strategies, contributing to the affordability of essential FMCG items for consumers.
- **Rural development initiatives:** Given the significant contribution of rural markets to FMCG sales, the government has focused on rural welfare through infrastructure improvements and agricultural support. These initiatives aim to boost rural demand, which is essential for FMCG growth.
- **Gati Shakti and Amrit Kaal Vision 2047:** Aims to improve infrastructure and operational efficiency within the sector[71].
- **Production Linked Incentive (PLI) Scheme:** The Union government has approved a new Production Linked Incentive (PLI) scheme for the food processing sector with a budget allocation of INR109 billion (US$1.46 billion). This scheme, which provides incentives over six years until 2026-27, is intended to support sectoral growth.
- **Pradhan Mantri Kisan Sampada Yojana:** Enhances infrastructure for food processing.
- **Startup India Initiative:** Promotes entrepreneurship within the FMCG sector.

Government efforts are instrumental in advancing the FMCG industry in India, with substantial funding directed towards initiatives like the SETU project, which supports startups and innovation. Furthermore, an initial amount of INR1,000 crores (US$120.7 million) are being allocated to NITI Aayog for the SETU project. Additionally, programs such as the Pradhan Mantri Kisan SAMPADA Yojana and the PLI Scheme are pivotal for the sector's continued expansion. The strategic allocation of funds in the budget underscores the government's dedicated support for the industry's development, reinforcing its pivotal role in driving economic progress.

## 3.5.2
## International benchmark

Some of the key international best practices in the FMCG sector are:

**Supply chain optimization:** Efficient supply chain management, including just-in-time inventory, accurate demand forecasting, and the use of technology for real-time visibility, is critical for reducing costs and ensuring timely delivery of products.

**Sustainability initiatives:** Implementing eco-friendly practices across the product lifecycle, such as sourcing sustainable raw materials, using recyclable packaging, and reducing energy consumption, is essential for meeting consumer expectations and regulatory requirements.

**Consumer-centric approach:** Understanding and anticipating consumer needs through market research and data analytics is key to developing products and marketing strategies that resonate with target audiences and foster brand loyalty.

**Innovation and R&D:** Continuous investment in research and development allows FMCG companies to innovate, adapt to changing consumer preferences, and maintain a competitive edge through new and improved products.

Digital transformation: Leveraging digital technologies for e-commerce, customer engagement, marketing, and operational efficiency helps companies to reach consumers effectively, gather valuable data, and streamline processes. Globally, FMCG leaders are thus adopting AI and Generative AI to enhance efficiency and consumer personalization. There is a growing demand for skills in data analytics, machine learning, and digital marketing professionals. Sustainable practices are gaining traction all over the world, with companies investing in green energy and resource management, creating new roles focused on sustainability. Training programs are increasingly being developed to upskill workforces in emerging technologies and sustainable practices, aligning with industry needs.

## 3.5.3
## Sectoral trends

### A Emerging technologies in the sector

The FMCG sector is rapidly adopting Industry 4.0 technologies to boost customer satisfaction, operational efficiency and innovation. Key technologies driving this transformation include Artificial Intelligence (AI), Big Data and Predictive Analysis, Digital Process Automation (DPA), and Cybersecurity.

AI is being leveraged for predictive analytics, enabling companies in the sector to accurately forecast demand and optimize production schedules, thus minimizing waste. Big Data allows FMCG companies to gain deep insights into consumer behavior, refining product

development and marketing strategies to enhance customer engagement and loyalty. Some notable use cases are mentioned below:

- Processes to streamline operations and improve customer engagement.
- Integrated digital processes to create a comprehensive product ecosystem for pet care, offering tailored recommendations based on health and behavioral data.
- Use of AI to analyse consumer data, including a skin analyser tool that uses AI to measure oxygen levels in facial skin[72].
- Use of AI for invitation-based online portal where consumers can provide real-time feedback on food innovations, which can be analyzed rapidly using AI technology

While AI and Generative AI significantly enhance supply chain efficiency, tailored sales, and product innovation, challenges such as data quality and a shortage of AI talent remain. The FMCG sector is also seeing a growing integration of Generative AI and advanced technologies in supply chain automation and predictive analytics. This trend is shaping recruitment strategies, emphasizing the need for tech-savvy professionals to drive efficiency and innovation[73].

The retail and consumer business unit, encompassing consumer goods and services, travel, logistics, and e-commerce, relies heavily on technology.

Key tech skills in the FMCG sector include Data Analytics, Digital Marketing, and E-commerce Platform Development. High-demand roles such as Data Analysts, Digital Marketers, and E-commerce Platform Developers are essential. Notably, Full stack Developers, UX Designers, and DevOps Engineers are seeing significant salary growth. The e-commerce vertical is anticipated to experience the highest growth in tech employment and market size, reflecting the ongoing digital transformation in the FMCG sector and the increasing need for tech talent.

### B Workforce trends

The FMCG sector is experiencing notable shifts in workforce dynamics, reflecting its evolving nature and the challenges in workforce development. There is a growing emphasis on candidates with a blend of technical and soft skills, including digital marketing, supply chain management, and research and development, alongside strong communication, leadership and problem-solving abilities[74].

Emerging roles such as supply chain sustainability analysts, digital marketing specialists, and data analysts are becoming more prevalent, highlighting the sector's focus on sustainability and digital transformation. Despite these advancements, challenges persist, including a shortage of skilled talent in digital technologies and sustainability. The rapid pace of technological change necessitates ongoing upskilling and reskilling, which can be resource intensive.

Workforce mobility is set to impact the FMCG job market, with professionals increasingly exploring opportunities across regions and companies. This mobility fosters a diverse and skilled workforce but poses challenges in talent retention and knowledge transfer. Companies that embrace flexible work arrangements and promote continuous learning are likely to attract and retain top talent, leveraging a broader talent pool through remote work.

The sector is projected to see moderate workforce growth, with 53% of employers planning to expand their workforce in the first half of FY 2024-25[75]. This growth is driven by the convergence of urban and rural markets, modern trade channels, rising disposable incomes, and expanded distribution networks.

## 3.5.4
## Future of jobs- insights from industry leaders

### A Emerging job roles in the sector

The survey of the industry leaders in the FMCG sector indicates several new job roles are anticipated to emerge in the coming years:

**Data Scientist:** As companies increasingly rely on data-driven decision-making, 75% of the respondents believe that the demand for data scientists who can analyze and interpret large volumes of data will rise.

**AI and Robotics technician:** With the growing adoption of AI and automation, specialized roles in AI and robotics are expected to become more prevalent as per 75% of the respondents.

**Digital Marketing specialist:** 50% of the respondents agree that the expansion of digital platforms will drive demand for specialists in digital marketing to enhance online presence and customer engagement.

**Sustainability manager:** As per 25% of the respondents, as sustainability becomes a top priority, companies will need managers to oversee and implement eco-friendly practices.

**Supply chain analyst:** Optimizing supply chain operations, particularly with the integration of AI, will require more specialized analysts as per 25% of the respondents.

**Cybersecurity expert:** 25% of the respondents agree that the need for cybersecurity professionals will grow to protect sensitive information with increasing reliance on digital systems.

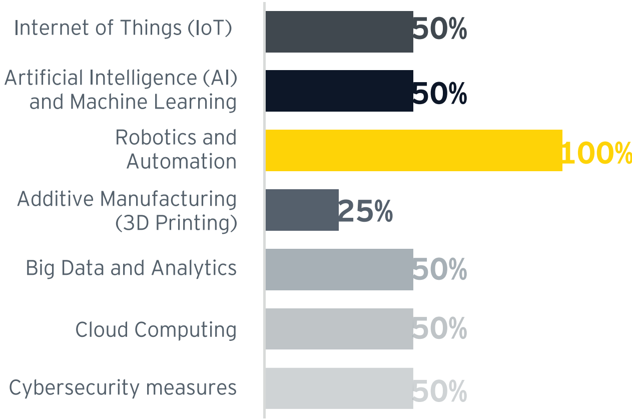
## B Impact of GenAI, AI, sector-specific technology, international mobility, DPI, climate, and green jobs on the job and skilling ecosystem

GenAI and AI integration: AI is expected to have a significant positive impact, with 75% of respondents anticipating major transformations in existing job roles, particularly in supply chain and logistics (75%) and production line work (50%).

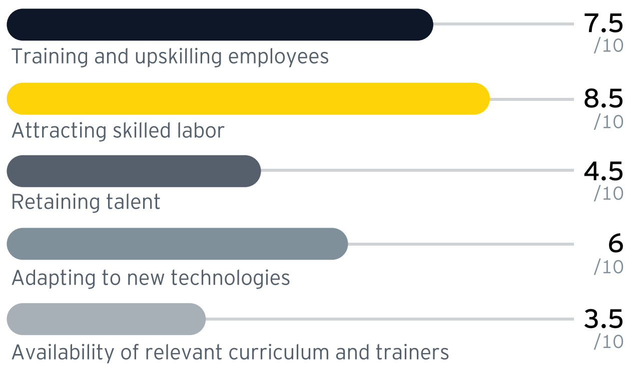
AI technologies are being employed in predictive analytics, supply chain optimization, quality control, and personalized marketing (50% each). This integration is driving the need for workforce reskilling and upskilling, as 50% of companies plan to focus on these areas.

- **Sector-specific technology:** The FMCG sector's adoption of Robotics and Automation (100%), IoT, AI/ML, Big Data, and Cloud Computing (50% each) is creating new opportunities and challenges. Companies will need to address technical complexity (75%) and data privacy concerns (75%) while investing in employee training to keep up with these technological advancements.
- **International mobility:** Skills related to cross-cultural competency and adaptability (75%) and international trade and logistics (75%) will be crucial as the workforce becomes more globally mobile.
- **Climate and green jobs:** With sustainability being a top priority (100%), roles related to sustainable business practices and green technologies will become essential. Challenges include economic feasibility (75%) and a lack of qualified candidates (50%) for these emerging green jobs.

### Utilization of any of the Industry 4.0 technologies

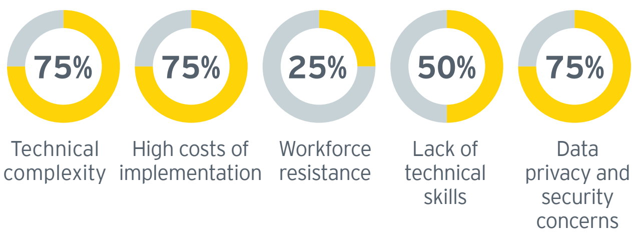



### Biggest challenge in workforce development




### Areas of FMCG sector where AI is expected to have the greatest impact


### Impact of adoption of AI had on job roles



### Anticipated challenges in integrating AI into existing FMCG sector

**75%** Transformation of existing job roles

**25%** Reduction in certain job roles

This report outlines the expected evolution of job roles, the impact of technology and other factors on the FMCG sector, the regions likely to receive more funding, and the necessary interventions from both industry leaders and the government to prepare for future challenges. The focus is on leveraging existing strengths while addressing id

### Government incentives or subsidies can be/have been most beneficial for technological advancements in the sector

- **25%** Tax credits for research and development
- **25%** Grants for purchasing new equipment or software
- **40%** Subsidies for training employees in new technologies
- **80%** Incentives for adopting sustainable practices

## Suggested programmatic and policy interventions

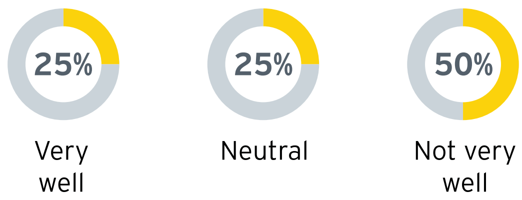
### Industry initiatives

- **Government support for skilling:** Industry leaders unanimously agree (100%) that the government should play a supportive role in addressing skill gaps, partnering with the private sector to provide necessary training and education.
- **Sustainability incentives:** 80% of respondents find government incentives for adopting sustainable practices beneficial, but 67% see a need for more impactful incentives, particularly in green investments (75%).

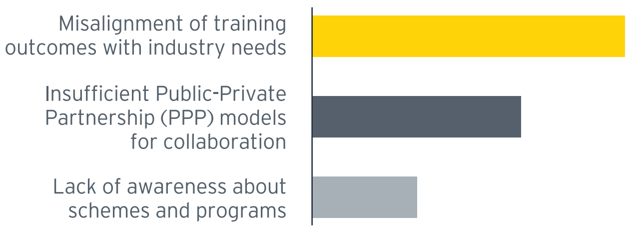
### Government Interventions

- **Increased financial incentives:** Financial support for green investments (75%) and renewable FMCG (50%) is crucial to drive sustainability initiatives.
- **Support for gender diversity:** Providing childcare support services (50%) and offering upskilling and training opportunities (25%) are recommended to enhance gender diversity and inclusion.
- **Educational alignment:** Aligning educational curricula with industry requirements is critical, as 50% of respondents feel the current system does not meet the sector's needs.

### How well do you think current educational curricula align with the skill requirements of the FMCG sector



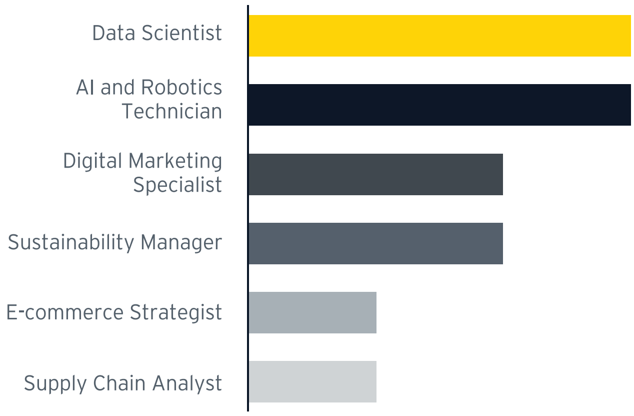

### Challenges FMCG companies face in collaborating with educational and skilling institutions



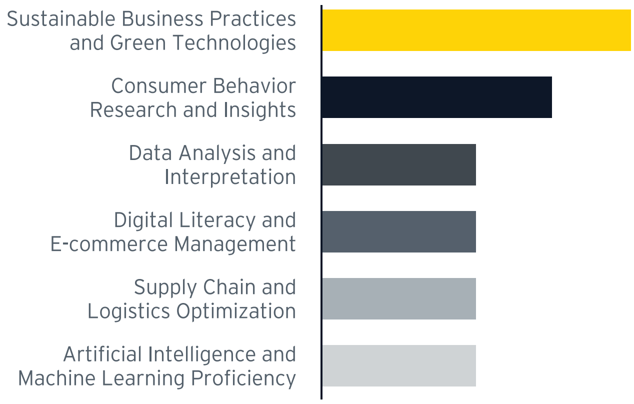
## 3.5.5
## Overall impact on job roles and skills in the sector

The FMCG sector's evolution is set to substantially impact job roles and the skills required. The rise of e-commerce and advancements in digital supply chain management are increasing the demand for expertise in digital marketing, e-commerce platforms, data analysis, logistics, and inventory management.

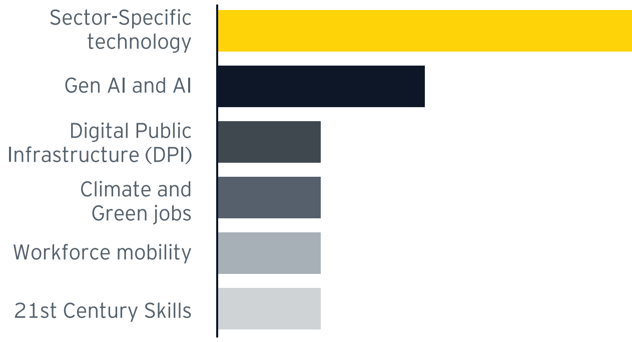
### Emerging job roles in FMCG sector




### Skill sets that will be most in demand for future FMCG job roles




### Areas skilling institutions need to focus on




With growing emphasis on sustainability and environmental impact, skills in green manufacturing, eco-friendly packaging, waste management and circular economy principles are becoming increasingly important. Furthermore, the integration of AI and automation into production processes is creating a heightened demand for workers skilled in robotics, automation, maintenance, data science and machine learning.

# 4

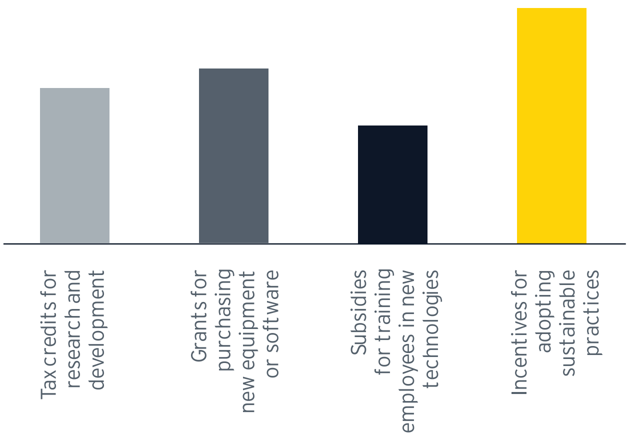
# Preparing for jobs of tomorrow

India's journey towards becoming a global economic powerhouse is deeply intertwined with the development of its workforce. As the demand for skilled professionals continues to grow, the challenge lies not just in imparting these skills but in creating a robust digital ecosystem that ensures their recognition, portability, and alignment with evolving industry needs.

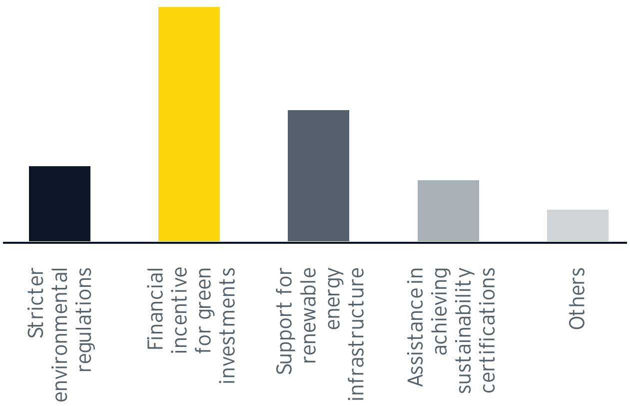
## 4.1 Preparing for jobs of tomorrow

One of the important lens in the study was to find the views of the industry on the role of government policies in skilling and employment ecosystem.
As technological advancements are transforming business operations at an accelerated pace and climate concerns and international mobility taking precedence, adopting policy reforms becomes an inevitable aspect. Various government schemes are committed to youth development and skilling. However, the survey also reflected that there are gaps remaining in technology adoption by industry and availability of skilled manpower remains a huge challenge. Enumerated below are few suggestions derived from research which can assist policy makers to improve future investments in policy-

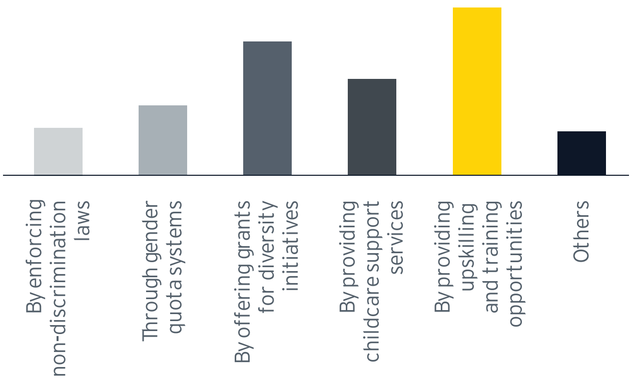
- 65% of the respondents found current government policies to be either very effective or somewhat effective in promoting technology adoption in their respective sectors.
- Respondents (48%) largely believed the government has been somewhat responsive to the evolving needs of their sector followed by neutral response.
- The government incentives or subsidies that can be/have been most beneficial for technological advancements in organizations have been incentives for adopting sustainable practices followed by grants for purchasing new equipment or software.




- Industry expects additional government support to encourage sustainability in the form of financial incentives for green investments and support for renewable energy infrastructure.



- Survey results also highlighted the need for improved communication and engagement from skilling institutions which could significantly boost industry-academia linkages.
- For better support gender diversity and inclusion, majority voted for a government policy which can provide upskilling and training opportunities for women followed by offering grants to organizations for implementing diversity initiatives.




- A clear mandate of 57% respondents agreed that the government should play a supportive role in partnership with the private sector rather than a lead or a minimal role. Suggestions included government's support in revamping basic infrastructure of ITIs and similar institutions so that basic training needs are met which can lead to enhanced associations with organizations.

## 4.2 Leveraging technology to build robust skilling ecosystem

In her budget speech 2024, Hon'bl Finance Minister proposed developing Digital Public Infrastructure applications at a population scale in the areas of credit, ecommerce, education, health law and justice, logistics, MSME service delivery and urban governance. DPI impetus aims to drive productivity gains, create business opportunities, and foster innovation within the private sector.

The survey provided insights that though there is a limited understanding of DPI/G in the industry, there is curiosity to know more on how it can be leveraged. With SIDH as the DPI enabling the skilling ecosystem, there is need to build more services to cater to a wider needs of the ecosystem. This section enumerates some of the building blocks that can have tremendous impact in the skilling and employment ecosystem.